

Distribution Network Strategy Review (2024)

Current network

Three DCs serve national demand: PDX-1 (import gateway + West fulfillment, 210k sqft), RNO-1 (West overflow + cold-chain, 95k sqft), CMH-1 (East fulfillment, 160k sqft). 68% of import volume lands at PDX-1; transfers to CMH-1 average 4.1 days via FTL.

Service coverage: 71% of customers within 2-day ground. The Southeast is the weakest region at 3.4-day average - the largest single driver of missed promised dates outside carrier delay (see: Shipments 2024 dataset).

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Options evaluated

Option A: a fourth DC in Atlanta (ATL-1) lifting 2-day coverage to 89% at \$2.1M annual run-rate; breakeven at 12% volume growth. Option B: a 3PL overflow node in Dallas at \$0.8M with 81% coverage but weaker cold-chain support. Option C: stay at three DCs and buy faster transportation on Southeast lanes at roughly \$0.6M annual premium.

Recommendation: Option A contingent on the 2025 volume plan holding above forecast for two consecutive quarters; revisit at the H1 review. Cold-chain remains consolidated at RNO-1 regardless (see: Cold-chain handling SOP).